Northwind Contract Negotiation Playbook: Overview

1. Overview and Tiered Approval Framework

1.1 Purpose and Scope This negotiation playbook establishes the mandatory governance framework for all commercial agreements entered into by Northwind Systems, including Master Subscription Agreements (MSAs), Professional Services Agreements (PSAs), Statements of Work (SOWs), and Data Processing Addenda (DPAs). This policy applies to all members of the legal team: Commercial Legal Counsel, Senior Legal Counsel, and the General Counsel.

1.2 Contract Value Thresholds All prospective contracts must be categorized by Annual Contract Value (ACV) prior to commencing legal review. Multi-year agreements must be evaluated based on the highest single-year ACV, excluding one-time deployment or professional services fees: * Tier 1 (Standard Review): ACV strictly under $150,000. * Tier 2 (Deviation Review): ACV from $150,000 to $499,999. * Tier 3 (Escalation Review): ACV of $500,000 or greater.

1.3 Tier Sign-Off Authority Authority to execute or grant written legal approval to execute an agreement is strictly assigned as follows: * Tier 1: Commercial Legal Counsel. * Tier 2: Senior Legal Counsel. * Tier 3: General Counsel. In the General Counsel’s absence exceeding 48 consecutive business hours, interim written authority falls strictly to the Chief Financial Officer.

1.4 Trigger Criteria by Tier Regardless of contract value, contracts are categorized into tiers based on the highest applicable risk trigger identified in redlines or counterparty paper:

* 1.4.1 Tier 1 Triggers (Standard Review):
* Use of unamended Northwind Systems standard click-through or standard order form templates.
* Counterparty acceptance of Northwind Systems standard MSA with deviations limited strictly to: (a) Net 45 payment terms (standard is Net 30); (b) inclusion of customer’s standard vendor code of conduct as an exhibit; or (c) annual price increases capped at not less than 5% (standard is uncapped).
* ACV under $150,000 containing no Tier 2 or Tier 3 triggers.

* 1.4.2 Tier 2 Triggers (Deviation Review):
* ACV between $150,000 and $499,999 with standard fallback provisions.
* Negotiation on counterparty paper where ACV is under $250,000.
* Deviations from standard payment terms between Net 46 and Net 60.

* Alterations to standard Service Level Agreements (SLAs) increasing service credit caps above 15% of monthly fees up to a maximum of 25%.
* Acceptance of customer audit rights limited to once per calendar year with a minimum of 30 business days' written notice, conducted during standard business hours without access to Northwind multi-tenant infrastructure or source code.
* Mutual confidentiality non-disclosure terms extending beyond three (3) years from the effective date (excluding trade secrets).

* 1.4.3 Tier 3 Triggers (Escalation Review):
* Any contract with an ACV equal to or exceeding $500,000.
* Any contract negotiated on counterparty paper where ACV equals or exceeds $250,000.
* Any clause granting exclusivity, most-favored-nation (MFN) pricing, or non-solicitation of counterparty employees.
* Any expansion of Northwind Systems standard IP indemnification obligations beyond direct copyright infringement and trade secret misappropriation (e.g., broad patent indemnification or indemnification for customer data).
* Any agreement requiring governing law outside the State of Delaware, the State of New York, or the laws of England and Wales.
* Any payment terms exceeding Net 60.
* Liquidated damages or contractual penalties of any kind.
* Waivers of subrogation or requirements to name the counterparty as an additional insured on cyber/errors and omissions liability insurance policies.

1.5 Absolute Prohibition on Auto-Approval for Limitation of Liability Redlines * 1.5.1 Under no circumstance shall any clause or contract be auto-approved, self-certified by Sales Operations, or cleared under Tier 1 review authority if the counterparty has introduced redlines, deletions, riders, or modifications of any kind to Section 11 (Limitation of Liability) of the Northwind standard MSA, or the equivalent risk-allocation section in counterparty paper. * 1.5.2 Counterparty redlines to the Limitation of Liability section that trigger an automatic, non-waivable escalation to Tier 2 (Senior Legal Counsel) include: * Increasing the aggregate liability cap up to a maximum of 2x the fees paid or payable in the trailing 12 months. * Establishing a separate, discrete super-cap for confidentiality or data protection breaches capped at the lesser of $1,000,000 or 3x the trailing 12-month fees. * 1.5.3 Counterparty redlines to the Limitation of Liability section that trigger an immediate, non-waivable escalation to Tier 3 (General Counsel) include: * Any provision requiring uncapped liability for data protection, confidentiality, or gross negligence. * Any aggregate contract liability cap exceeding 2x trailing 12-month fees (outside the approved Tier 2 DPA super-cap limit). * Any waiver or dilution of the mutual exclusion of indirect, special, punitive, or consequential damages.

1.6 Review Turnaround SLAs The legal team operates under the following contract turnaround timelines upon assignment in the contract management queue: * Tier 1: Two (2) business days. * Tier 2: Three (3) business days. * Tier 3: Five (5) business days. Any expedited review request (“jump queue”) requires written sign-off from the Vice President of Worldwide Sales to the General Counsel.